However, the government refused to allow people to deposit the demonetized notes beyond the 30 December 2016 deadline, saying, 'it would defeat the very purpose of demonetization, that is, elimination of black money.'

Representing the government, Attorney General Mukul Rohatgi made the extraordinary statement that the Prime Minister's promises did not matter if his government did not stick to them in the legal notification that followed. 'If the Prime Minister has made the announcement in television that deposit can be done till March-end next year [2017], but subsequent law says one can't do so, the law will prevail but not Prime Minister's statement.'[51]

On 5 January 2017, a disturbing video was aired on national media showing a woman, apparently quite poor, stripping in front of the RBI's New Delhi office, in frustration at not being able to exchange two old ₹1,000 notes and four old ₹500 notes. She had apparently been refused entry to the RBI on two successive days. The video showed policewomen taking her away, while her one-year-old son cried pitifully beside her.

A few days later, there was a report of an elderly widow, who lived in a remote village as a recluse after the death of her husband and only child. She subsisted on what she grew and went into the nearest town only every few months to draw her pension. Her life's savings were literally held under her mattress. She was not aware of demonetization, and was devastated to hear that all the money she had was now worthless and could no longer be exchanged at any bank or at the RBI, even if she made the long trip to one of their five designated offices.

The authorities dismissed these and numerous similar reports as 'anecdotal' stories. The RBI did not respond.

What was the reason for the RBI's out-of-character behaviour throughout the demonetization, the lack of forethought, the poor planning and the frequent policy reversals culminating in its reneging on its commitment in the gazette notification of 8 November?